

First Impressions: NZ labour market surveys, March quarter 2026

#labour

#newzealand

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The unemployment rate ticked down to 5.3% in the March quarter, better than the flat outcome that we and the market expected. Employment and hours worked were up, while wage growth was subdued.

Unemployment rate: 5.3% (prev: 5.4%, Westpac: 5.4%, RBNZ: 5.3%, mkt: 5.4%)

Employment change: +0.2% (prev: +0.5%, Westpac: -0.1%, RBNZ: +0.4%, mkt: +0.3%)

Participation rate: 70.4% (prev: 70.5%, Westpac: 70.3%, RBNZ: 70.5%, mkt: 70.5%)

Labour costs (private sector): +0.4% (prev: +0.5%, Westpac: +0.4%, RBNZ: +0.4%, mkt: +0.4%)

The March quarter Household Labour Force Survey (HLFS) provided a modest positive surprise with the unemployment rate ticking down from 5.4% to 5.3%, the first decline since December 2021. This was better than the flat outturn that we and the market were expecting, but it was in line with the Reserve Bank's (now somewhat dated) February Monetary Policy Statement forecasts.

The fall in unemployment stemmed from the unusual combination of a rise in employment along with a fall in labour force participation, splitting the difference in terms of our somewhat out-of-market view on the composition. We felt that the jump in the participation rate in the previous quarter was overstated, having been concentrated among young people during the school holidays, and would unwind this time. That did happen to some degree, but was balanced out by stronger employment among older groups than we expected.

The other employment measures in the HLFS and the Quarterly Employment Survey (QES) painted a fairly consistent picture of a lift in activity over the March quarter. The HLFS recorded a 0.8% rise in the total number of hours worked, while the QES recorded a 0.7% rise in full-time equivalent workers and 0.6% gains in filled jobs and hours paid. All of these are broadly supportive of our forecast of a 0.8% rise of GDP for the quarter (which we expect will be partly boosted by seasonal distortions).

Wage growth remained subdued at this stage of the cycle, and was broadly in line with expectations. The Labour Cost Index (LCI) for all sectors rose by 0.5% for the quarter, although this appears to be a quirk of rounding, with the private and public sectors each recording 0.4% gains. On an annual basis the LCI held steady at 2.0%. The distribution of pay rises (for those roles that saw any increase) continues to converge on the 2-3% range, though there has been a rise in the number of employers citing the cost of living as a reason for increasing pay rates.

The unadjusted analytical LCI, which includes pay increases that are related to higher productivity, rose by 0.7% for the quarter. This measure has continued to cool off on an annual basis, slowing from 3.3% to 3.1%, the smallest rise since March 2021.

Overall, we don't think the labour market surveys will give the RBNZ much to ponder ahead of its 27 May policy review. There's a range of evidence that the economy was starting to regain some momentum in the early part of this year, but subsequent events in the Middle East have clouded the outlook for both activity and inflation pressures in the months ahead. At the least, the RBNZ can conclude that we came into this shock with a labour market that was starting to improve but still had a substantial degree of slack, a notable contrast with our Australian cousins.

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